

How to Read an M&A Merger Model

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A merger model is where two companies' financials collide, and the collision is rarely clean. Building the model is the easy part — Sources & Uses balances, the PPA plugs, the schedules roll forward. The hard part is opening someone else's completed model and knowing in thirty seconds whether the deal actually creates value or whether the banker pitching it just picked a premium that made the math work.

An M&A model isn't really about the target company or the acquiror in isolation. It's about what happens when you bolt them together — new debt, new goodwill, synergies that may or may not show up, and an EPS number the market will judge on day one. Here's how I read my own merger model tab by tab.

1. The Premium Decision Drives Everything Downstream

Start on Txn Assumptions and look at one cell: the Acquisition Premium. In my model it's set at 30% over the target's unaffected share price, which pushes the Offer Price from \$25 to \$32.50 and the Equity Purchase Price to \$4,875mm. Every other number in the workbook — Sources & Uses, the PPA, goodwill, accretion/dilution — is downstream of this single input.

- High Premium (>30-40%): You're telling the board and the market that synergies or strategic value justify paying well above where the stock already trades. The higher you go, the more goodwill gets created and the more pressure lands on Year 1 accretion.
- Low Premium (<15-20%): Either the target is a willing seller under pressure, or the acquiror has real negotiating leverage. Cleaner deal, easier to defend, but you should ask why the seller agreed to so little.

In this model the entry multiple tells the real story: EV/LTM EBITDA comes out to roughly 50x, and P/LTM Net Income (the offer P/E) lands near 89x. Those aren't typical strategic-buyer multiples — they're the kind of number that should make you go back and stress-test the synergy assumptions before you believe the deal works.

2. Sources & Uses — Where the Money Actually Comes From

This tab isn't a checklist, it's a leverage decision. Look at how the \$5,113mm of funding is split: \$50mm cash on hand, a \$300mm Term Loan, \$100mm of Senior Notes, \$1,950mm of stock, and — this is the one that matters — a \$2,713mm Revolving Credit Facility that exists purely as an auto-balancing plug.

- Revolver as the Plug: In my build, the revolver draws whatever amount is needed to make Sources equal Uses exactly, every time you change the premium. That's over half the total financing (53%) sitting in the most expensive, most short-term piece of the capital stack. A real banker would flag that immediately — you don't fund over half a \$5bn deal with a revolver in practice, this plug is here so the model always balances while you stress different premiums.
- Cash vs. Stock Mix: 60% cash / 40% stock here. More cash means more debt or balance-sheet cash gets used, which is more accretive to EPS if the interest cost is cheap enough — but it also means more leverage. More stock protects the balance sheet but dilutes existing shareholders and current owners of the combined company.

The balance check row should always read exactly \$0.00. If it doesn't, don't trust anything below it on the page.

3. Purchase Price Allocation — Where Goodwill Actually Comes From

Go to the PPA tab. This is where accountants decide what you actually bought. Net book value of the identifiable assets acquired is only \$70mm against a \$4,995mm enterprise value — so almost all of the purchase price, \$4,782.5mm of it, becomes goodwill.

- Large Goodwill Relative to Deal Size: This is normal for asset-light, brand or technology-driven acquisitions, but it's also a warning sign. Goodwill sitting at 96% of the consideration means you paid almost entirely for intangible value — customer relationships, developed technology, trade names — and none of that shows up as tangible collateral if the deal underperforms. Any future impairment test on this deal has very little hard-asset cushion underneath it.
- Fair Value Step-Ups: The \$30mm PP&E step-up and \$160mm of newly identified intangibles (customer relationships, tech, trade names, non-competes) both amortize going forward and both throw off a \$47.5mm Deferred Tax Liability. That DTL isn't cash — it's a future tax timing difference, and it quietly reduces the net assets side of the equation.

One thing I always check here: does the intangible amortization schedule tie back into the Pro-Forma Income Statement? If it doesn't flow through, your accretion/dilution number downstream is wrong.

4. Synergies — The Number Everyone Overpromises

The Synergy Schedule is honestly where most deal theses live or die. In this model, revenue synergies ramp from \$0 to \$58mm by Year 5 and cost synergies ramp from \$0 to \$78mm — a combined \$136mm run-rate, against \$40mm of Year-1 integration costs that get written off almost entirely by Year 3.

- Cost Synergies Loading Faster Than Revenue Synergies: That's realistic and it's what I built in here — headcount and procurement savings show up almost immediately, while cross-sell and new market synergies take years to materialize because they depend on sales teams actually integrating and customers actually behaving differently. If a model shows revenue synergies front-loaded ahead of cost synergies, be suspicious.
- Net Synergies Turning Negative in Year 1: Notice the model shows -\$40mm net synergies in the LTM column and -\$5mm in Year 1 — integration costs outweigh the benefit early on. That's the honest version of a deal. Any model where net synergies are positive from day one is probably hiding the restructuring bill somewhere else.

The real test: check the Breakeven Synergy row on the Accretion-Dilution tab. That tells you how much synergy the deal actually needs to stop being dilutive — not how much synergy management is promising.

5. Accretion / Dilution — The Number the Market Actually Reacts To

This is the tab an equity research analyst reads first. Pro-Forma Combined EPS starts at \$0.125 in Year 1 against a \$0.645 acquirer standalone EPS — an 80.6% dilution in Year 1 alone.

- Deep Initial Dilution That Narrows Over Time: That's exactly what this model shows — dilution goes from -80.6% in Year 1 to -0.4% by Year 5, essentially breakeven. That's a believable trajectory: heavy new debt and PPA amortization crush earnings early, and synergies plus debt paydown claw it back over five years. If the market believes the synergy case, the stock can still work even with brutal Year 1 dilution.
- Dilution That Never Narrows: If you run this same model and the EPS gap stays wide by Year 4 or 5, the deal doesn't work at this premium and financing mix — full stop. No banker's synergy story fixes a structurally dilutive deal.

Look at the Net Income Bridge below it — it's the plain-English version of the same math. Standalone net income plus target net income, plus after-tax synergies, minus PPA amortization, minus incremental after-tax interest on the new debt (\$134.4mm every single year in this model — that's the real cost of the financing decision), minus one-time transaction costs in Year 1 only. That interest line is brutal and permanent; it doesn't taper the way integration costs do.

6. Pro-Forma Credit Metrics — Can the Combined Company Actually Service This?

At the bottom of the Accretion-Dilution tab: Net Debt / Pro-Forma EBITDA opens at 5.9x and grinds down to 3.0x by Year 5.

- Above 5.0x at Close: Rating agencies and lenders start caring a lot. A deal that opens above 5x leverage needs either fast EBITDA growth or fast debt paydown to avoid a downgrade — and if synergies disappoint, that 5.9x doesn't come down on schedule.
- Comfortably Below 4.0x: Reasonable leverage for most industrials and healthcare deals; less true for cyclical or capital-intensive sectors where 4x can already be tight.

EV / Pro-Forma EBITDA falling from 14.1x to 7.2x over the projection period isn't the company getting cheaper — it's EBITDA growing into the fixed transaction value. Don't mistake that multiple compression for value creation; it's arithmetic, not strategy.

7. Goodwill & Intangibles Roll-Forward — The Long Tail

Goodwill sits flat at \$4,782.5mm across all five years in this model because no impairment is assumed. Intangibles amortize down from \$160mm to \$40mm on a straight-line basis by Year 5, driven by asset lives ranging from 3 years (non-competes) to 12 years (customer relationships).

- Watch the Amortization Drag: \$20mm a year of non-cash amortization keeps hitting reported net income for over a decade after the deal closes, long after anyone is still talking about the transaction. It's not a cash cost, but it does depress EPS and P/E-based valuation comps for years.
- Flat Goodwill Isn't Automatically Good News: It just means no impairment has been triggered yet. The moment target performance disappoints relative to the deal thesis, this is the line that takes a hit — and impairments are one of the most-watched red flags in post-merger investor calls.

Summary Checklist for Reading My Model:

1. Check the premium first — does the entry multiple make sense for the sector, or are you paying growth-stock multiples for a mature asset?
2. Verify the plug — is the revolver (or whatever balancing item) absorbing a sane amount of leverage, or is it doing all the heavy lifting?
3. Trace goodwill and intangibles back to the PPA — know what you're actually amortizing and for how long.
4. Separate cost synergies from revenue synergies and ask which ones you'd actually bet on.
5. Read the accretion/dilution trajectory, not just the Year 1 number — a deal that's dilutive at close but accretive by Year 3 is a very different story from one that never recovers.
6. Check pro-forma leverage against what the sector and rating agencies will tolerate.

By the time you've walked through all seven tabs, you're not just checking that the model balances — you're deciding whether you'd actually recommend this deal to a client. Change the premium in Txn Assumptions and watch how fast every number downstream moves. That's the real education.